NOVEMBER 2026 · D. B. RITTS III

How I Find, Judge and Select Investments

A guidebook to my research process and selection discipline across **private stakes, operational roll-ups, public equity books and the macro overlay**, with the frameworks, evidence standards, case studies and kill rules behind each decision.

4
arenas run on one selection process

5
factors in the selection equation, multiplied, not added

8
selection lenses, each with live examples

Follow the shift down through budgets, contracts and production lines until you find the constraint that has to be paid. Then own it at a price the public market won't offer twice.

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01 How I Think

I don’t start from a company, a sector or a banker’s book. I start from a structural shift in how the world allocates capital, follow it down through budgets, contracts and production lines until I find the constraint that has to be paid, and then pick the instrument (a private stake, a roll-up, a listed equity, an option or a rates trade) that lets me own that constraint at the right price.

1.1 One framework, not four disciplines

Macro, geopolitics, military doctrine, industrial supply chains and derivatives structure are a single analytical system to me, not separate specialties. A change in one domain propagates into the others: a Treasury funding decision changes the rate path, which changes the exit window for long-duration private assets; a cancelled diplomatic trip changes the timing on energy and volatility positions; an appropriations line changes the revenue of a tier-3 machine shop. I hold my theses as **interlocking pillars**. When one pillar is revised, I trace the cascade through every position that depends on it before I do anything else.

1.2 How the world actually works

- **Incentives, power and imperfect information drive outcomes.** I analyze governments, primes, LPs and counterparties by what they are paid and pressured to do, not by what they say.
- **Institutional incompetence is a source of mispricing.** Large allocators abandon sectors that are hard to underwrite, too small, politically awkward or operationally messy: family-owned industrials, ESOPs, blue-collar regional businesses, tier-3 defense suppliers. Those gaps create both real-economy damage and exploitable pricing. I target both at once: **returns come from operational restoration, not financial engineering.**
- **The theme is beta; the entry point is alpha.** By the time a theme is obvious (rearmament, AI compute) it is priced in public markets. What I am paid for is capturing it earlier, deeper in the supply chain, or through a structure others can’t or won’t use.
- **Constraints change more slowly than narratives.** I don’t need to be right about the whole macro story. I need to be right about which constraint binds first, because constraints are measurable and edges built on them decay slowly.

1.3 Second- and third-order thinking

The first-order trade is what everyone does after reading the headline. My process asks **what happens after everyone does the first-order trade**.

Headline	First-order (consensus)	Second / third-order (my process)
Defense budgets rise	Buy primes, buy the hottest defense-tech round	Throughput is set by tier-2/3 suppliers: motors, forgings, energetics, case machining. Own the constraint.
AI race with China	Buy late-stage AI at peak marks	If Taiwan is contested, the scarce asset is the domestic fail-safe stack: lithography, metrology, substrates, packaging.
Intelligence budget grows	Ignore it, because it is classified	In-Q-Tel is funded inside the intelligence budget. A bigger budget means a larger, government-validated deal pipeline to mirror.
Treasury fights long-end yields	Buy duration, or short it	Treasury is rewriting the **rights** attached to the bond. Own the release valve (gold) and the curve shape, and add duration only once repression is confirmed.

Headline	First-order (consensus)	Second / third-order (my process)
US–China decoupling	Avoid China	Pair it: long the allied side of the chokepoint, short the subsidized side.

1.4 Ten habits

01

Constraint first. Geopolitics → budgets → contracts → capacity → equity value, with every link evidenced.

02

Two layers down. The interesting opportunity sits several steps from the obvious trade.

03

Physical over narrative. Requalifying a supplier takes years, so a physical moat outlasts a story moat.

04

Compelled evidence. I underwrite what someone was legally required to disclose, not what they chose to say.

05

Asymmetry. Design for convexity to the most mispriced scenario, then make sure the base case still pays.

06

Discrete events stay discrete. Awards, IPOs, votes and recompetes are modeled as steps, not smoothed into growth.

07

Structure solves access. Preferred, cornerstone, secondary blocks and roll-up rebrands open assets others skip.

08

Pick the instrument, not just the idea. The expression should match the mechanism and the time horizon.

09

Define the kill signal first. Before entry, I name the observable that would tell me I'm wrong.

10

Honest tails. Scenario weights are fixed before I look at the output, and risk sections are analysis, not disclaimers.

02 What Makes a Target Selectable

2.1 The selection equation

Attractiveness = Demand engines × Constraint / moat × Evidence quality × Entry price × Access

The factors **multiply**. A near-zero on any one kills the target however strong the others are. A brilliant chokepoint with no route to a stake is a pass. A huge TAM at a mark that can't clear the hurdle is a pass. A cheap price on a company with no demand engine is a value trap. When one factor is weak but curable, the target goes on a watchlist with the condition that would change it written down.

Factor	Question I ask	What "strong" looks like
Demand engines	How many independent secular curves pull on this company, and how wide is the market?	Two engines (Substrate: national security × AI), or breadth across every demographic and channel (Made In)
Constraint / moat	What can the market not route around?	Capacity, qualification, sole-source status, IP, brand credibility, network
Evidence quality	Can the thesis be proven from compelled disclosures and priced marks?	Contract awards, filings, priced rounds, secondary prints
Entry price	Does the mark leave room for the Base case to clear the hurdle?	Pre-IPO discount, compressed multiple, family / ESOP pricing, multiple arbitrage
Access	Is there a real, structurable route to a meaningful position?	Significant minority with board rights, cornerstone allocation, roll-up rebrand, liquid listed instrument

2.2 Eight selection lenses

Each lens is a different way a company can earn a place in the book. Most selected names pass through two or three.

Lens	The question	Examples across my books
Dual-engine convergence	Is it pulled by two independent demand curves?	Substrate (national security + AI); ThinTronics (CHIPS + AI packaging); Ursa Major (solid rocket motors + hypersonics); PDYN (physical manufacturing + autonomy)
TAM breadth	How many demographics, channels and geographies can buy it without category education?	Made In (every household cohort); Quince (value trade-down); the fitness roll-up (premium experience at mass pricing)
Chokepoint / sole source	Can the system route around it?	EUV Tech (no fab qualifies without it); Ellwood and Helicon (forgings, energetics); CRS (submarine alloys); MP (NdPr magnets)
Contract-visible demand	Is the demand already signed?	CoAspire (low-cost cruise missiles, top DoW missile priority); Haigh-Farr (missile telemetry and PGM RF); the Tomahawk supplier chain (RTX → PPG, FEIM, DCO, MTSI)
Sovereign validation	Has a strategic allocator already vetted it?	Nine In-Q-Tel-backed names; ThinTronics' $50M CHIPS LOI; NDAA line items
Unit economics & repeat	Does each customer pay back, and come back?	Farmer's Dog (profitable, >$1B revenue); Whoop (subscription); high-margin sauna and cold-plunge add-ons in the fitness roll-up

Lens	The question	Examples across my books
Catalyst proximity	What event re-rates it inside my hold or option tenor?	Ursa Major SPAC close; IAI IPO attempt; a county board data-center vote for the marina platform; Treasury refunding statements for the macro book
Mark quality & access	Is the price real, and can I get in?	Stripe tender; Forge prints; listed LEAPS priced daily, versus GOAT's five-year-stale mark

03 How I Research

3.1 The signal stack

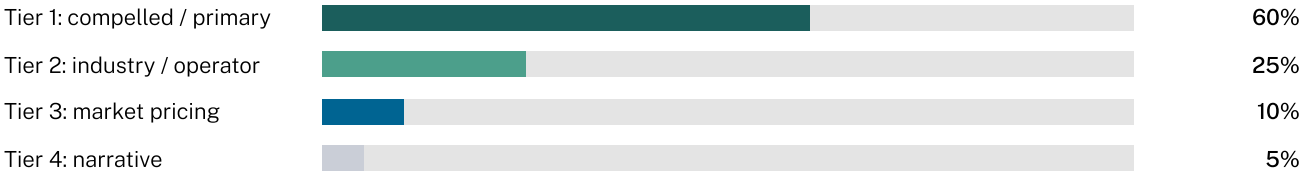
My research advantage comes from combining signal types that rarely sit on the same desk. I describe it as an **OSINT-to-capital pipeline**: open-source intelligence and compelled disclosure converted into positions faster than consensus models update.

Layer	What I read	Examples
Compelled disclosure	What governments and companies must publish	Appropriations and NDAA text (FY2027 bill read in full and synthesized), contract awards and IDIQ awardee lists, S-1s, the Fed H.4.1 release, daily Treasury cash balance
Open-source intelligence	Physical-world signals before they hit filings	ADS-B aviation pattern analysis, GPS-interference mapping, naval basing and submarine build-out, a Taiwan warning-indicator dashboard
Market microstructure	Where money is positioning	Unusual options flow (a systematic input, not a standalone signal), dealer gamma positioning, cross-expiry open-interest analysis
Operator and local intelligence	What filings miss	Site visits, management conversations, county board agendas and votes, local land-use and incentive decisions
Synthesis	How signals interact	Interlocking pillars: e.g. an Iran deal fracture → energy timing → volatility spreads → gold accumulation

3.2 Evidence hierarchy

Signals are weighted by how hard they are to fake. Lower tiers refine timing; only the top tier sets conviction.

Weight of evidence in a conviction decision[1]



Case in point: Hermeus's entry mark is a priced Series C ($1.0B post, company release), so the price is Tier 1; its dual-pulse rocket motor thesis is not publicly confirmed, so it stays a diligence item rather than a conviction input. Marks for names such as CoAspire, SCD and Haigh-Farr are placeholders until validated.

3.3 The question stack

Research is a sequence of questions, each with its own evidence. A target moves to the next stage only when the current one is answered from primary sources. **I never skip to price.**

Stage	Core questions	Gate
1. Demand engines	Who must buy this? How many independent curves drive it? How wide is the market across demographics, channels and geographies?	A named dollar flow and an engine count
2. Constraint / moat	What can't the market route around? How long would replication take? Who else could supply?	A chokepoint or a durable commercial moat, or a pass

Stage	Core questions	Gate
3. Company proof	Is revenue real and visible: contracts, cohorts, repeat rates, margins?	A program-level or unit-level build
4. Price	What is the mark, and which evidence tier supports it?	Priced / secondary / contract-derived / estimate
5. Access & structure	Can I get a meaningful position? Which structure protects me?	Route, structure and size
6. Scenarios & exit	What happens in Base, Bull, Bear and the tail? Who buys it, and when?	Expected return, hurdle comparison, tripwires

3.4 Decomposing macro into constraint

The defining move in my process: I don't express a macro view directly. I break it into the physical, technological, financial and institutional constraints that must clear before spending becomes output, and I buy the constraint.

Macro event	Physical	Technological	Financial	Institutional
Munitions and interceptor budgets rising: Tomahawk multiyear to 1,000+/yr; PAC-3 600 → 2,000/yr	Forging, deep-hole machining and rocket-motor casting capacity	Energetics chemistry, propellant and warhead-case know-how	Long cycles, fixed-price risk, capex needed ahead of awards	ITAR, clearances, sole-source qualification, recompetes

Result: solid-rocket motors (Ursa Major), low-cost cruise missiles (CoAspire), energetics (Helicon), missile-casing forgings (Ellwood, Superior & Grand Valley), telemetry and seekers (Haigh-Farr, SCD), and in public markets the alloy, magnet, RF and coatings suppliers (CRS, MP, QRVO, PPG).

The full analytical chain I run on every thesis has twelve links: **geopolitics → policy → appropriations → programs → production targets → capacity → bottleneck → supplier → ownership → entry structure → catalyst → payoff.**

3.5 Watch gates: decide what would change my mind before I need to

For every thesis I name the specific observable, its baseline, and the date it matters. That converts monitoring from news-reading into a checklist.

Thesis	Observable	Baseline / trigger
Gold revaluation (macro)	Fed H.4.1 gold certificate account	$11,037M; any move is signal
Gold revaluation (macro)	Treasury General Account	Unexplained $100–150B one-day builds without matching issuance
Financial repression (macro)	Quarterly refunding statements	Larger buybacks or "additional tools" language
Marina platform (roll-up)	County board data-center decisions; state impact analysis; general election	Re-underwrite on each outcome
Ursa Major (PIPE)	SPAC merger close	Expected Q1-2027
Israel Aerospace Industries (cornerstone)	IPO attempt and pricing	H2-2026 attempt; allocation size

04 Four Arenas, One Process

The same selection equation runs across four arenas. What changes is the instrument, the evidence available, the horizon and how risk is controlled.

	Private stakes	Operational roll-ups	Public equity books	Macro overlay
What I select	Minority / pre-IPO stakes in constrained private companies	Fragmented local operators near durable demand nodes	Listed suppliers along the same dependency map	Policy mechanisms and their cleanest expression
Primary edge	Entry price and access	Multiple arbitrage and operational restoration	Speed: OSINT and contract trail ahead of consensus	Early regime identification
Evidence	Contracts, cap tables, priced rounds	Site-level financials, local permits and votes	Filings, backlogs, options flow	Statute, Fed and Treasury data
Instrument	Equity, structured preferred	Control equity, rebrand-light platform	ITM LEAPS, defined-risk structures, pairs	Call ladders, curve trades, staged duration
Horizon	5 / 7 / 10 years	~5 years to platform exit	Months to two years	Weeks to quarters, gated by events
Risk control	Position caps, tranches, tripwires	Synergy ramp discipline, re-underwriting dates	Defined risk, theta control, pairs	Watch gates, staged entry, named kill signal

The common thread: capital redeployed into what institutional capital has mispriced or abandoned, with returns earned by being earlier, deeper in the chain or structurally advantaged in access.

05 Arena I: Private Stakes

The private arena runs through the Leviathan core PE holdco: a $1,406M vehicle built as a barbell with a ballast.[2]

Holdco construction by sleeve[2]

$M committed; 29 positions



Weapons (physical layer) $956M · cash-generative core

IQT-mirror deep tech $250M · convex tail hedge

Consumer / Value $200M · ballast and early DPI

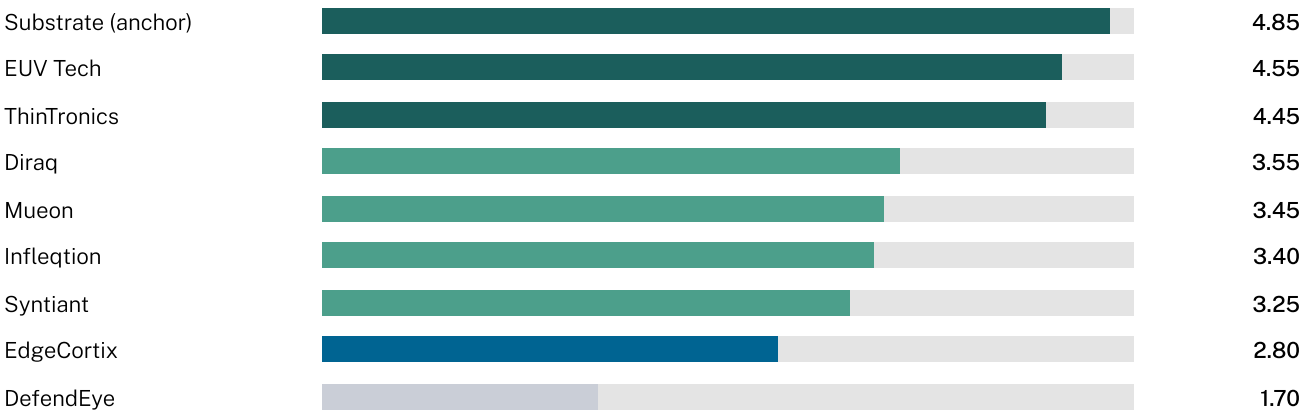
Every position must fill a **role**: the IQT-mirror sleeve is the capex leg of the supercycle (building the domestic stack), Weapons is the opex leg (consuming munitions), and Consumer is the deliberately uncorrelated ballast. A good company that fills no role is a pass.

5.1 Strategic scoring

Deep-tech names are scored 1–5 on five axes: China-race criticality (25%), Taiwan / TSMC insulation (30%), government embeddedness (15%), CFIUS-clean sovereignty (15%) and supply-chain chokepoint (15%). The composite drives the tail scenario: **Shock CAGR = Base CAGR + (Composite − 2.5) × 8% per point.**

IQT-mirror composite strategic scores[2]

1 = low, 5 = high; pivot at 2.5



Scores are levers, not facts: ±1 point on the TSMC axis moves shock CAGR by ±2.4%. Every score carries a written justification and is sensitivity-tested.

5.2 How a weapons position is underwritten

Weapons names don't use the deep-tech score. Their growth is built as a stack of named overlays on a per-name base CAGR, so every point of uplift traces back to a scored driver:[2]

Overlay	Score	CAGR uplift per point (Base / Bull / Bear / Shock)
Munitions / FMS exposure	Average of munitions-shortage and FMS-backlog scores (0–5)	0.5% / 0.8% / 0.4% / 0.6%
DoW missile-production priority	0–5	0.6% / 0.8% / 0.2% / 0.8%
China / Indo-Pacific deterrence floor	China relevance, 0–5	Bear only: 0.8 pp

Example, Helicon Chemical (energetics): Base 28% + 4 × 0.5% + 5 × 0.6% = **33.0%**; Bear 2% + 4 × 0.4% + 5 × 0.2% + 4 × 0.8% = **7.8%**. The Bear overlays exist because multiyear munitions contracts and Indo-Pacific deterrence demand cushion a budget slip; they are why the Weapons sleeve holds up in the Bear case.

Proceeds are then haircut for dilution: Check × $(1 + \text{CAGR})^{T}$ × retention (Weapons 0.92 / 0.88 / 0.82 at 5 / 7 / 10 years). Where the evidence supports it, a position also gets a program-level revenue build (program revenue = driver growth + share gain, with discrete award steps, a margin ramp and an exit multiple), and its implied CAGR replaces the sleeve-level assumption.

5.3 Case study: Substrate, two engines in one asset

LENS: DUAL-ENGINE CONVERGENCE

Engine 1, national security: domestic X-ray lithography and US fabs, a path to leading-edge chips if Taiwan / TSMC access is lost; In-Q-Tel backed; CFIUS-clean and acquirable by government or primes. **Engine 2, the AI boom:** AI accelerators consume leading-edge wafers, fab capacity is the binding constraint, and the technology aims to lower cost per leading-edge wafer.

Why selected: if the AI cycle cools, the national-security need remains; if geopolitics calms, the AI demand remains. That gives a high floor on strategic value with convex upside, and the highest composite score in the book (4.85).

What must be true: production-grade yield and throughput; fab financing and anchor offtake; a timeline inside the hold. **Risks:** binary technology (Bear 0.32x gross at 5 years); capital intensity and dilution; a >$1B entry mark.

Decision: anchor position ($80M, 7.6%), capped at ~32% of the sleeve. The dual engine justifies the largest check; the binary risk justifies the cap.

5.4 Case study: Made In Cookware, TAM breadth across demographics

LENS: TAM BREADTH

Demographic breadth: household formation (first kitchens), the affluent upgrade and replacement cycle, gifting and wedding registries, home cooks trading up. **Channel breadth:** DTC, wholesale and retail placements, and restaurant and pro-chef placements, where professional use builds consumer trust. Room to extend into knives, bakeware and tools, and to grow internationally.

Why selected: a universal category reachable through every cohort and channel without category education. The model scores this directly: TAM across prime earning years 35–54 (50% weight) 4 / 5, entering prime 22–34 (30%) 2 / 5, and boomers entering retirement (20%) 4 / 5, an exposure score of 3.4 that lifts Base CAGR from 14% to 16.0%. Capital efficiency (~$8.3M raised in total) signals self-funded unit economics and low dilution.

Honest read: the mark (~$280M) is the least-grounded in its sleeve, since no secondary market exists; import and tariff exposure hurts in the Shock case; and the Base IRR (~13–14%) still sits below my ~15% position hurdle. It is held for TAM optionality (Bull 4.9x gross at 7 years; Bear 0.47x), and the mark has to be confirmed through company financials before any upsizing.

5.5 Case study: EUV Tech, the chokepoint with a floor

LENS: CHOKEPOINT + DOWNSIDE PROTECTION

At-wavelength EUV metrology is a node no leading-edge fab can route around. The company already generates revenue as a niche leader, so the Bear case is roughly capital-preserving (~1.0x), the best risk-adjusted name in the deep-tech sleeve. A ~17% stake earns a board seat. Its niche market caps the Base case at 14% CAGR, but it is selected for asymmetry: it offsets the binary risk in the anchor.

5.6 Case study: reading the secondary tape

THE FARMER'S DOG: COMPOUNDING WITH A CATALYST

Profitable, >$1B revenue, a daily-use subscription. Forge prints imply $3.76B, up from a $2.5B Series E. The Walmart.com launch moves it from DTC-only to omnichannel. Bear CAGR is still positive (12% after the cohort overlay), so it returns 1.88x gross at 7 years even in the Bear case, one of only two consumer names (with Quince) above 1.0x there.

THRIVE MARKET: GROWTH WITHOUT RETURN

Revenue rose from $400M to $700M+, yet Forge implies ~$945M, down ~27% from the 2021 Series C. The 2021 entry multiple was the problem. Lesson: **price the tape, not the last round.** Growth doesn't equal return when the entry was set at peak multiples.

06 Arena II: Operational Roll-ups

The same constraint-and-entry logic, applied to small, founder-run businesses that institutional capital ignores.[3]

6.1 Case study: the Mid-Atlantic marina platform

LENSES: MULTIPLE ARBITRAGE · DEFENSE-CORRIDOR DEMAND · OPERATIONAL RESTORATION

Thesis: buy single-site marinas from founder-operators at low multiples, institutionalize them as a platform, and exit at a platform multiple. Initial sites in Southern Maryland (Desoto's Landing on the Patuxent at the Route 231 bridge, Lens Marina, Boatel California, Vera's Beach Club, Stoney's Broomes Island), expanding to Virginia Beach / Norfolk and coastal North Carolina.

Demand engine: the defense corridor, with NAVAIR Patuxent River in Southern Maryland and the Hampton Roads naval cluster: durable, government-anchored household income near the water.

Restoration, not replacement: sites keep their names and local roots; the roll-up is a rebrand-light platform with shared back office, procurement and financing. That preserves local goodwill (the asset a strategic buyer pays for) while removing the cost disadvantages of independence.

Marina platform: entry vs exit multiple[3]

EV / EBITDA, from the 5-year platform model with synergy ramp and bear / base / bull exits



Multiple arbitrage alone lifts enterprise value ~1.55x on unchanged EBITDA, before synergies, organic growth or leverage.

Catalysts and re-underwriting dates. The Calvert County data-center question (a ~133-acre land swap plus a $30M regional park in one proposal, an AWS application withdrawn in August 2026, a separate earlier data-infrastructure NDA, a state impact analysis and the November election) can change land values, traffic and household income around the platform. Each outcome is a scheduled re-underwrite, not a surprise. A dark-fiber corridor to NAVAIR Patuxent River makes dual-use compute near Calvert Cliffs a live upside scenario.

Risks: local politics, integration of founder-led sites, financing cost, and exit-multiple compression if platform buyers retreat.

6.2 The second vertical: premium fitness at mass pricing

An Equinox-style experience at Planet-Fitness-level pricing (~$40–80 a month), with sauna, cold plunge and spa therapies as high-margin add-ons, in the same target geographies. Same structure: partner with local gyms, owners keep their platform, the deal is a rebrand. The **TAM-breadth** lens applies: premium wellness has historically been priced for a narrow demographic, and this concept widens it.

07 Arena III: Public Equity Books

Public markets let me run the same dependency maps with daily marks and liquidity. The edge is speed: compelled disclosure and OSINT ahead of consensus models.[3]

7.1 The Weapons Book: chokepoint mapping in listed equities

Layer	Names	Why selected
Core	PDYN	Hypersonic prime work plus autonomy software and guidance: the one name spanning physical manufacturing and autonomous intelligence
Materials	IPX (titanium), NB (niobium), MP (NdPr magnets), CRS (submarine and surface-ship alloys), Mitsubishi Steel Muroran (special steel)	Inputs no program can route around
RF & coatings	QRVO (GaN RF content on F-35 and Raytheon programs), PPG (stealth / radar-absorbent coatings)	Content-per-platform exposure
Tomahawk chain	RTX prime → PPG, FEIM, DCO, MTSI	Multiyear procurement ramp, traced to suppliers
Interceptor chain	LMT → DCO, FEIM, QRVO	PAC-3 and THAAD production ramps
Shipbuilding	GD, BWXT, HII (plus TDY in the wider book)	Heavy backlog and priority funding

Selection logic: Golden Dome is a convergent demand signal across every layer. I treat prime backlogs as **hidden intrinsic value not yet in consensus models, and resilient even to a US–China détente**, which hedges the main blind spot in the private book. Instruments are in-the-money LEAPS and synthetic leverage to limit theta drag over multi-quarter horizons, with gold calls as the monetary overlay.

7.2 The long / short pairs book

Long: the allied side of the chokepoint	Short: the subsidized side
HBM-linked semis: MU, LRCX, TER	China semis: Hua Hong (primary), GigaDevice, VeriSilicon, Ingenic
Korean defense; Japanese defense IHI and MHI (upgraded to core), Kawasaki: BoJ coordination plus a yen / HBM double-kicker	Chinese defense-industrial names (shipbuilding, Chengdu Aircraft, AVIC Shenyang); Sinopec after the Iran conflict
	TIGR after the May 2026 regulatory enforcement (VIE / delisting and AML exposure)

Short-selection criteria: state-backed capital allocation rather than return-driven management; a Chinese fiscal picture deteriorating against consensus, with Belt & Road credit impairment as an extra channel; and identifiable enforcement or regulatory catalysts. Risk is controlled with LEAPS and defined-risk structures, and dealer gamma positioning is monitored for index-level air pockets. Long-end duration and consumer discretionary were exited as regime calls.

7.3 Single-name research discipline

Coverage initiations are built as fully formula-linked models, and the conclusion follows the numbers even when it is unexciting. Microchip (MCHP) was initiated at HOLD with a $75 target after the DCF and comps diverged, so no margin of safety means no position. Private-company names in the public book use a separate branching workflow because their evidence base is different.

08 Arena IV: The Macro Overlay

Selection applies to instruments as much as to companies: choose the expression whose payoff matches the mechanism, stage entries on confirmation, and name the observable that kills it.[3]

8.1 Thesis: financial repression by rewriting the bond

Formed in November 2025: the Treasury is suppressing long-end yields not by cutting coupons but by **rewriting the rights attached to the bond** (liquidity, collateral, expected supply, access, custody). The mechanisms: enlarged long-end buybacks; the Fed's foreign repo facility widened to more central banks; Fed bill purchases (~$40B a month since December 2025); the Treasury cash balance as a buyback funding source; and stablecoin legislation that makes issuers structural bill buyers from January 2027.

The release valve is **gold certificate revaluation** under 31 U.S.C. §5117: 261.5M troy ounces carried at the $42.2222 statutory price, worth over $1T at market, could be marked up to fund long-end buybacks without new issuance and without Fed cooperation. The same mechanism surfaced independently in a widely circulated essay in September 2026, about nine months after the thesis was formed.

8.2 Choosing the expression

Expression	Why this instrument	Rule
GLD call ladder, all strikes in-the-money	Convex to revaluation and to negative real rates; ITM limits theta	Monetize ahead of the midterm window
2s30s flattener	Expresses curve compression from long-end repression, not a generic gold or duration bet	Hold while buyback scale grows
Long duration	The payoff only exists once repression is real	Enter **after** repression is confirmed, not anticipated

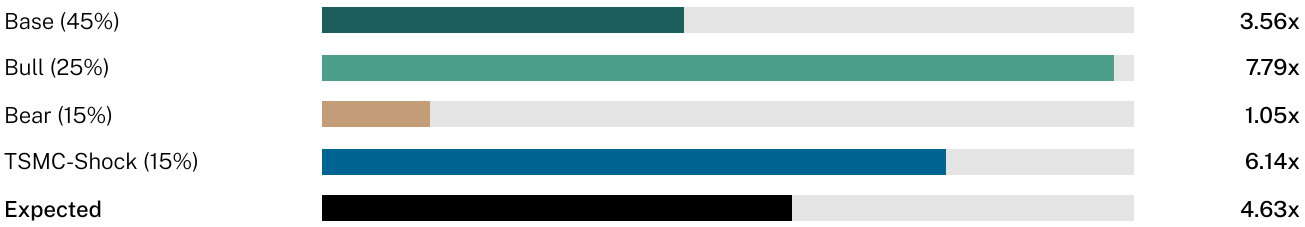
Main risk, stated in advance: the market reads a visible revaluation as debt monetization and bear-steepens the long end. That breaks the thesis rather than confirming it. Secondary risks: the Treasury Secretary's on-record denial, legal ambiguity over whether the statutory price needs Congress, and Fed–Treasury friction.

09 Deciding and Sizing

9.1 Scenarios and hurdles

Private positions are underwritten to the probability-weighted Expected case across four scenarios (Base 45%, Bull 25%, Bear 15%, Taiwan / TSMC Shock 15%), with Base and Bear always reported beside it.

Leviathan holdco 7-year net MOIC by scenario [2]
net to LP after 2% / 8% / 20%; axis 0–8x



Expected net IRR 24.5%; KS-PME 1.74x against a 15% forward Defense + Semis ETF basket and 2.53x against the S&P 500. Bear now roughly preserves capital (1.05x net) because the Weapons overlays cushion it; the IQT seed names and Consumer still lose money in Bear.

The scoreboard is the thematic ETF, not cash. If owning ITA / SOXX would have done as well, the illiquidity, fees and diligence were wasted. Thresholds: Expected KS-PME against the thematic basket must exceed 1.0x; Base KS-PME of at least 1.0x is preferred; individual private positions should clear ~2.0x gross at five years (≈15% IRR) unless they are ballast or a liquidity bridge.

9.2 Sizing and construction

- **Cap the anchor.** Maximum conviction still gets a cap when the risk is binary (Substrate ≈32% of its sleeve).
- **Tranche ladder.** Anchor → growth core → pre-IPO / liquid → venture → seed optionality, with size falling as binary risk rises.
- **More than 15% ownership means seeking a board seat or observer rights.**
- **Trim versus new money.** A substitute exposure is funded by trimming (Hermeus was funded by cutting Heckler & Koch from $35M to $20M); additive exposure gets a new commitment (the November 2026 munitions surge added $296M of new money across CoAspire, SCD and Tadiran Spectralink).
- **Allied and foreign names stay minority-only and smaller**, because the CFIUS ceiling limits exit buyers.
- **Instrument sizing in the liquid books:** ITM LEAPS and defined-risk structures, so the maximum loss is known at entry and theta does not decide the outcome.

9.3 What I pass on

A red flag rarely kills a great company outright; it changes the size, the structure or the timing. A hard pass happens when a factor in the selection equation goes to zero.

Name	Arena	Factor that failed	Decision
ALROSA / Russian diamond equities	Public	**Access**: uninvestable for Western capital	Pass

Name	Arena	Factor that failed	Decision
T3 Defense	Public	**Evidence**: going-concern-adjacent nano-cap roll-up, structural concerns	Initiation paused at go / no-go
Microchip (MCHP)	Public	**Entry price**: DCF and comps diverged, no margin of safety	HOLD, no position
Consumer discretionary; long-end duration	Public / macro	**Demand engine**: wrong side of the repression regime	Exited
GOAT Group	Private	**Evidence**: five-year-stale mark, no live secondary	Re-underwrite before any check
Saronic	Private	**Entry price**: $9.25B on $200M revenue (~46x)	Secondary or late primary only
DefendEye	Private	**Access / evidence**: EU cap table, overseas manufacturing	Provenance diligence first
EdgeCortix	Private	**Access**: foreign nexus, CFIUS ceiling	Minority only, capped
CoAspire, SCD, Haigh-Farr	Private	**Evidence**: entry marks are placeholders with no priced round	Validate round terms before funding
Hermeus	Private	**Evidence**: dual-pulse rocket motor program not publicly confirmed	Diligence before upsizing

9.4 Tripwires: conditions that break a thesis

Tripwire	What would falsify it	Arenas hit
Durable US–China détente	Credible cross-strait framework; export-control rollback; Taiwan risk premia compress	Private deep tech, pairs book (prime backlogs partially insulate the Weapons Book)
Procurement retrenchment	Multiyear quantities cut; reconciliation fails; long continuing resolutions	Weapons sleeve, Weapons Book
The constraint dissolves	New motor or forging entrants qualify; lead times normalize; pricing power lost at recompete	Physical-layer names
Exit window shuts	IPOs pulled again; higher-for-longer compresses multiples; secondary discounts widen	Private stakes, roll-up exit
Revaluation read as monetization	Long end bear-steepens on a visible revaluation	Macro overlay

When a tripwire trips: stop follow-ons, de-risk, reassess. Thesis invalidation, not mark volatility, is the principal risk in illiquid positions, because marks lag reality by quarters.

10 Known Blind Spots

A framework earns trust by naming where it flatters its own answer.

Blind spot	Why it matters	Fix
Single-factor concentration	Weapons alone is 68% of the $1,406M holdco, and most of the rest (private and public) loads on the same geopolitical factor	Model an explicit de-escalation scenario; cap factor exposure; lean on backlog-protected names
Judgment-based scores	Strategic scores drive the convexity case	Score sensitivity tables; a second scorer
Point-to-point IRR	Single exit cash flow; no J-curve or staged calls	Build a quarterly call / distribution schedule
Simplified waterfall	No GP catch-up flatters upside net returns	Run full catch-up as a sensitivity
Minority and local liquidity	Family, ESOP and founder-site stakes may need deep exit discounts	Apply a liquidity discount; negotiate puts and redemption rights
Budget execution	Requests aren't appropriations	Tie Base cases to appropriated dollars only
Crowd reflexivity	A thesis that goes viral changes its own payoff	Pre-decide whether to amplify, trim or hold when consensus arrives
Elevated exit multiples	Today's 15–22x used for exits years out	Mean-revert exit multiples in Base

11 Toolkit: the One-Page Target Scorecard

Field	Entry
Name · arena · role in book	
Demand engines (count and evidence)	
Binding constraint it owns	
Selection lenses passed	
Evidence tier of the thesis and of the mark	
Entry price vs comps / hurdle	
Access route and structure	
Instrument and why it matches the mechanism	
Base / Bull / Bear / tail outcomes; Expected	
Watch gates: observable, baseline, date	
Tripwires and kill signal	
Size, cap and funding source (trim or new money)	
Open diligence before commitment	

Notes Sources and endnotes

1. Evidence-tier weights are the author's framework weights for conviction decisions, not empirical measurements.
2. Leviathan core PE holdco model, January 2027 internal version ($1,406M). Holdco size, sleeve structure, scores, overlays, entry marks, scenario returns and KS-PME are model outputs, estimated and unaudited; many entry marks are placeholders pending cap-table confirmation.
3. Roll-up, public-book and macro material is drawn from the author's research records and position notes, May–November 2026. Positions are described as recorded at the time and are not a current holdings statement. Marina platform multiples come from the platform's 5-year model.

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Note: Model figures are estimated and unaudited. Defense-book material is restricted from LP distribution.